

buyer-seller platforms. However, innovation is not just limited to technology but also to crop additives and bio-stimulants.

Unlocking more for 2029

There is now global consensus that estimates the Indian economy to grow within a range of 6.3-7% for the year 2023-24. On a conservative basis, India will be a \$5-trillion economy by 2027-28. This makes India the only major economy in the world to grow at such a robust pace, year after year. Fundamental differentiators, such as the world's largest working population, stable democracy, and an entrepreneurial mindset, coupled with structural differentiators such as the low external debt to GDP ratio, low volatility of the national currency, and high rate of adoption of digital stack solutions, make for a compelling bet.

Although the Ease of Doing Business rankings, as measured by the World Bank, have improved considerably, there are low-hanging fruits that can quickly propel India's position even higher than its current 63rd position.

Cost competitiveness in manufacturing is one such area. Currently, logistics cost are around 18% of GDP, as against 10% for Asian peers such as Vietnam and Bangladesh, making some of our exports uncompetitive. The government is fully cognisant of this, and is making every effort to boost infrastructure, diversify supply chain, reduce bottlenecks, and open up markets with a free flow of people and goods. With infrastructure spending expected to double to over ₹140 lakh crore until FY30, execution and implementation hold the key to changing the game.

With an eye on net zero by 2070, the government is well on its course to achieving a non-fossil fuel-based generation capacity of 500 GW

by 2030. The private sector, along with state utilities, have committed over \$200 billion to be invested till 2030, in India's energy sector. Notably, the policy thrust around green hydrogen, sops for advanced chemistry cell (ACC) batteries, and developing 'Aatmanirbharta' in critical minerals are steps towards diversifying India's energy mix. I believe that in the foreseeable future too, the government shall continue its strategic geopolitical measures as a means to ensure energy security and transition.

The implementation of social schemes by the Centre and the states to ensure welfare of those at the bottom of the pyramid

visible, and therefore similar initiatives that cut across sectors would be most welcome. A roll-out of best practices across the country would reduce the compliance burden and lower the cost of conducting business. Further, states with low per capita income have enough headroom for faster growth, which will raise the overall growth numbers as well as reduce intra-state inequalities.

India's labour productivity is currently quite low for a variety of historical reasons. In some quarters, there is debate on whether we should focus on manufacturing or services to improve productivity. I don't think we have a choice, given

136 |

A COUPLE OF MEASURES THAT CAN PLAY A DECISIVE ROLE IN INDIA'S DEVELOPMENT TRAJECTORY ARE: BETTER CENTRE-STATE COORDINATION AND FASTER ECONOMIC GROWTH

shall continue to play a key role in overall socioeconomic development. The government's National Family Health Survey reported a significant decline of 9.89 percentage points in poverty in a span of just five years, with around 15% of the population being multi-dimensionally poor as of 2021.

The way forward

A couple of measures that can play a decisive role in India's development trajectory are: better Centre-state coordination and a faster economic growth amongst the less developed states. The benefits of GST are now

the sheer numbers seeking livelihoods with varying skill levels.

As the world's largest democracy heads into its 18th General Elections, India's tryst with Bharat will continue its onward journey. A stable policy environment, supplemented with a renewed spurt in strategic investments, FDI inflows, and corporate capex outlay will certainly make India the third-largest economy in the world before the end the decade. **BT**

The author is Chairman and Senior Managing Director of DCM Shriram Limited. Views are personal